

 Customer & Revenue Risk Analysis Report

Business Performance Stress Test Nova Cart Retail Company

1. Executive Summary

This report analyses customer behaviour, operational performance, and market pressure for Nova Cart Retail, a mid-sized digital retail company operating across the UK and EU. The assessment covers a 12-month period, evaluating how different stress scenarios impact revenue, retention, satisfaction, and operational cost.

Three core scenarios were tested Customer Behaviour Shock, Operational Failure, and Market Shift to identify where Nova Cart Retail is most vulnerable. The analysis includes KPI impact modelling, sensitivity analysis, A/B testing of retention strategies, and a 12-month revenue forecast across Best, Expected, and Worst-Case trajectories. The findings highlight key risks in customer churn, delivery reliability, and competitor pricing, while also identifying opportunities to strengthen onboarding, loyalty rewards, and operational efficiency.

2. Hypotheses

Hypothesis A — Customer Behaviour Shock

If returning customers drop suddenly, retention and repeat revenue will fall significantly, causing measurable revenue loss.

Hypothesis B — Operational Failure

If delivery delays increase, customer satisfaction will decline sharply, leading to higher churn and increased operational costs.

Hypothesis C — Market Shift

If a competitor launches a cheaper product, demand will decrease, resulting in reduced revenue and weaker long-term forecasts.

Stress Scenarios Analysed

- Customer Behaviour Shock
- Operational Failure
- Market Shift

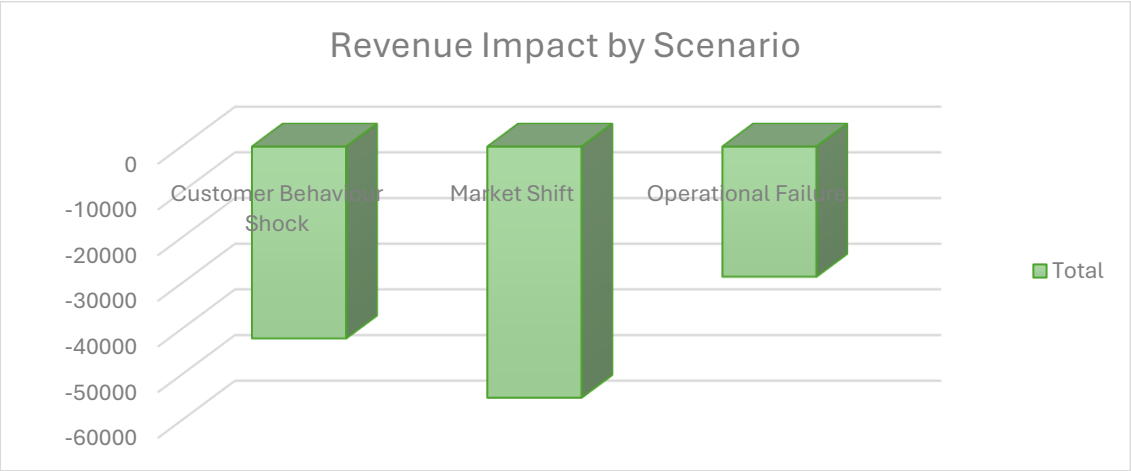
 Revenue Impact by Scenario Table

Scenario	Revenue Impact (£)	Retention Change (%)	Satisfaction Change (%)	Operational Cost Change (%)
Customer Behaviour Shock	-£42,000	-20%	-4%	2%
Operational Failure	-£28,500	-12%	-15%	10%
Market Shift	-£55,000	-8%	-3%	1%

 Sensitivity Analysis: Which KPI Is Most Sensitive?

KPI	Most Sensitive Scenario	Sensitivity Level	Why It Matters
Revenue	Market Shift	High	Competitor pricing directly reduces demand and revenue.
Retention	Customer Behaviour Shock	High	Returning customers are the core of repeat revenue.
Satisfaction	Operational Failure	Very High	Delivery delays strongly impact customer experience.
Operational Cost	Operational Failure	High	Delays increase refunds, support workload, and logistics cost.

 Revenue Impact by Scenario Column Chart



 KPI Sensitivity Heat Map

Count of KPI	Column Labels		
Row Labels	High	Very High	Grand Total
Customer Behaviour Shock	1		1
Market Shift	1		1
Operational Failure	1	1	2
Grand Total	3	1	4

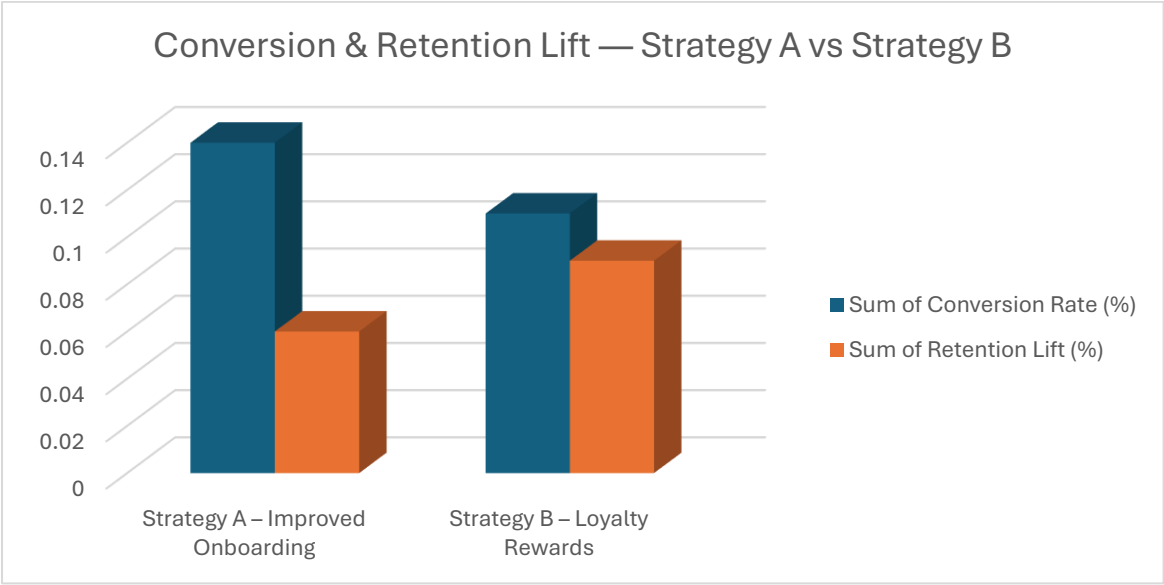
Insights

- Market Shift causes the largest revenue loss
- Customer Behaviour Shock causes the biggest retention drop
- Operational Failure causes the biggest satisfaction decline
- Operational Failure increases cost the most

A/B Test Table

Strategy	Conversion Rate (%)	Retention Lift (%)	Cost per Improvement (£)
Strategy A – Improved Onboarding	14%	6%	£3,200
Strategy B – Loyalty Rewards	11%	9%	£5,800

Conversion & Retention Lift (Strategy A vs Strategy B)



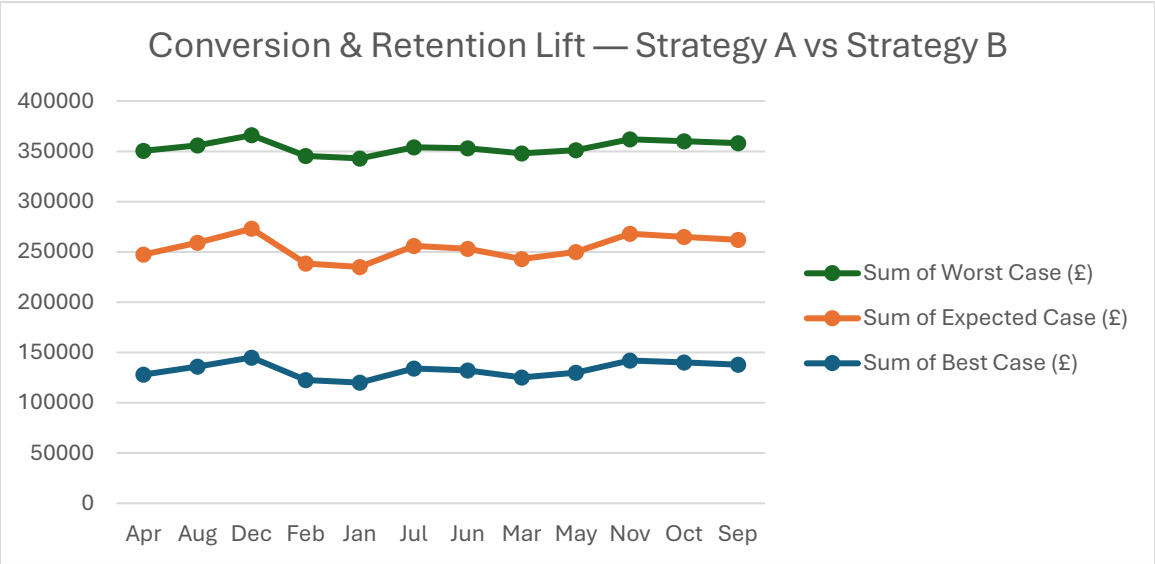
Insights

- Strategy A is more cost-efficient
- Strategy B gives higher retention lift
- A blended approach is optimal

Revenue Forecast Table

Month	Best Case (£)	Expected Case (£)	Worst Case (£)
Jan	120,000	115,000	108,000
Feb	122,500	116,000	107,000
Mar	125,000	118,000	105,000
Apr	128,000	119,500	103,000
May	130,000	120,000	101,000
Jun	132,000	121,000	100,000
Jul	134,000	122,000	98,000
Aug	136,000	123,000	97,000
Sep	138,000	124,000	96,000
Oct	140,000	125,000	95,000
Nov	142,000	126,000	94,000
Dec	145,000	128,000	93,000

Revenue Forecast Chart — Best vs Expected vs Worst Case (12-Month Trend)



Insights

- Expected case shows stable growth
- Worst case shows risk in Q3–Q4
- Best case shows strong recovery

Risk & Opportunity Summary

Risks

High

- Competitor pricing
- Delivery delays
- Customer churn

Medium

- Satisfaction decline
- Operational cost increases

Low

- Short-term onboarding issues

Opportunities

- Improve onboarding
- Strengthen loyalty rewards
- Introduce flexible pricing
- Enhance delivery tracking

Final Recommendations

For Customers

- Clear onboarding
- Personalised loyalty rewards
- Delivery transparency

For Employees

- Training on delivery issue resolution
- Clear communication scripts

For Stakeholders

- Invest in retention strategies
- Monitor competitor pricing
- Prioritise operational reliability